

Business Law

Lecture 8

Warranty rights II

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Lecture 8

Warranty rights II

AGENDA

WARRANTY RIGHTS OF THE PURCHASE AGREEMENT

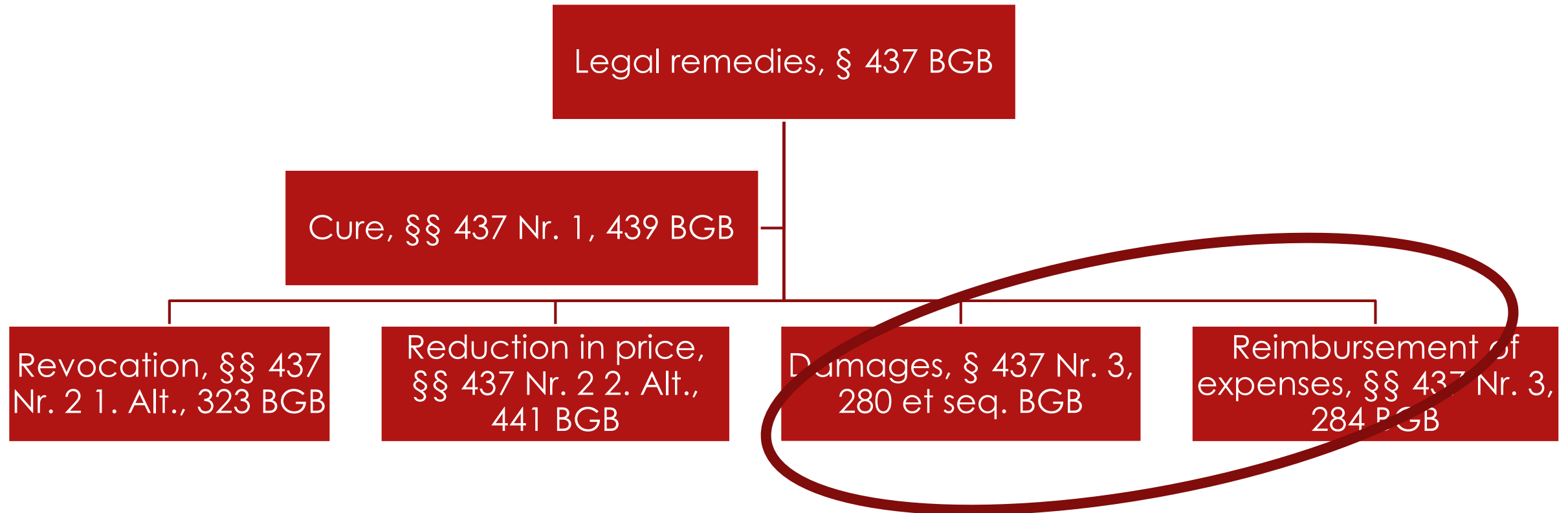
- **LEGAL REMEDIES**
 - Damages
 - Reimbursement

WARRANTY RIGHTS OF THE WORK AGREEMENT (OVERVIEW)

Warranty rights – Legal remedies

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- Warranty rights of § 437 BGB are in a tiered relationship



- Second chance: additional period for cure

Warranty rights – Damages

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- § 437 Nr. 3 BGB: Different damage claims

Damages in addition to performance	Damages instead of performance
Simple damages § 280 I BGB	Damages due to non- or malperformance §§ 280 I, III, 281 BGB
	Damages due to impossibility §§ 280 I, III, 283 BGB
	Damages due to initial impossibility § 311a BGB

- Defect? Damages limited to these provisions
 - Other damage provisions: culpa in contrahendo, tort law (§ 823 BGB)

Warranty rights – Damages

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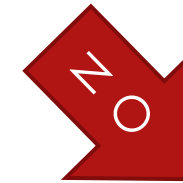
- How to distinguish between the types of damages?

“Would the claimed damage still be given, if the performance had been hypothetically rendered (correctly at the latest possible time)?“



Damages in addition to performance

- § 280 I BGB



Damages instead of performance

- §§ 280 I, III, 281 BGB
- §§ 280 I, III, 283 BGB
- (§ 311a II 1. Alt. BGB)

Damages in addition or instead of performance?

- Defective good harms the belongings of the buyer. Buyer claims damages for his harmed property.
 - §§ 437 Nr. 3, 280 I BGB
- Seller delivers defective good that can be fixed. Buyer claims damages for reduced market value.
 - §§ 437 Nr. 3, 280 I, III, 281 BGB
- Seller delivers defective good that can't be fixed. Buyer claims damages for reduced market value.
 - §§ 437 Nr. 3, 280 I, III, 283 BGB

- § 280 I BGB = basic provision for damages

§ 280 BGB

Damages for breach of duty

(1) If the debtor breaches a duty arising from the obligation, the creditor may demand damages for the damage caused thereby. This does not apply if the debtor is not responsible for the breach of duty.

(2) Damages for delay in performance may be demanded by the creditor only subject to the additional requirement of § 286.

(3) Damages in lieu of performance may be demanded by the creditor only subject to the additional requirements of §§ 281, 282 or 283.

- § 280 I BGB = basic provision for damages

§ 280 BGB

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Warranty rights – Damages

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1. Contractual obligation: purchase agreement



2. Breach of duty: delivery of defective good



3. Responsibility



4. Causal damage



Compensation of damages pursuant to §§ 249 et seq. BGB

Warranty rights – Damages – Responsibility

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- Debtor is responsible for his intent and negligence, § 276 I 1 BGB
- Strict liability in case of guarantee
 - No intent or negligence required
 - Tacit guarantee possible, but high threshold for assumption of guarantee
- Presumption of law for the fault of the debtor, § 280 I 2 BGB

- Responsibility for breach of duties by a third party
 - Persons used by the debtor to perform obligation
 - Depends on the scope of obligation: esp. employees, also other companies (e.g. shipping company)

§ 278 BGB

Responsibility of the debtor for third parties

The debtor is responsible for fault on the part of his legal representative, and of persons whom he uses to perform his obligation, to the same extent as for fault on his own part. The provision of § 276 III does not apply.

■ Definition

- No definition in statutory law
- Any disadvantage that someone suffers to their interests
- “Any involuntary loss of material or immaterial goods and interests”
 - Not: Expenditure, a voluntary sacrifice of assets (= reimbursement § 284 BGB)
 - Includes expenses incurred by the injured party to prevent or limit damage
 - ▶ Based on the occurrence of the damage; not voluntary

- Both material and immaterial damage
 - Distinction: measurable in monetary terms?
 - Immaterial damages only when statutory basis, § 253 I BGB
 - Injury to body, health, freedom or sexual determination, § 253 II BGB
 - Damages for pain and suffering
 - Discrimination, § 15 II AGG

- General form of damages: restitution in kind, § 249 I BGB
 - Replacing of a broken fence, repairing of a damaged machine
- Alternative: monetary compensation, § 249 II – 251 BGB
 - Choice of aggrieved party as creditor, generally
- Calculation of damages by difference hypothesis
 - Comparing the existing situation to that without the damaging event, whereby a negative deviation means the damage (§ 249 I BGB)
 - The actual loss of profit is also taken into account, § 252 BGB

Warranty rights – Damages in addition to performance

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- Simple damages, § 280 I BGB

§ 280 I BGB

Contractual obligation

Breach of duty

Responsibility

Causal damage

Warranty rights – Damages instead of performance

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- **Damages due to non- or malperformance, §§ 280 I, III, 281 BGB**
 - Non-performance (1. Alt.) or mal-performance (2. Alt.)
 - § 280 III BGB states: § 280 I + § 281 BGB

§ 280 I BGB
Contractual obligation
Breach of duty
Responsibility
Causal damage



§ 281 BGB
Due obligation to perform
Non- or mal-performance
Additional period

Warranty rights – Damages instead of performance

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- Requirements of § 280 I BGB in addition to § 281 BGB:
 - Setting of a reasonable additional period for performance or cure
 - Period must be expired without result; no reminder required
 - Exceptions of requirement in § 281 II BGB and § 440 BGB (for purchase contracts)
 - Responsibility for either initial malperformance or expiry of additional period required
 - Exclusion of damages instead of the entire performance in case of:
 - Partial performance, yet interest of buyer in such performance, § 281 I 2 BGB
 - Insignificant defective performance, § 281 I 3 BGB

Warranty rights – Damages instead of performance

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Damage instead of performance ("small claim for damages" ≈ reduction)	Damage instead of <u>entire</u> performance ("big claim for damages" ≈ revocation)
In the case of small damages according to § 281 I BGB, the defect (breach of duty) does not have to be substantial.	Pursuant to § 281 I BGB the buyer may pose a big claim for damages if the breach of duty (= defect) is substantial or there is a lack of interest in partial performance.
Limited damages: Buyer retains the defective item and receives damages in the amount of the difference in <u>value</u> between the defective item and a defect-free item. Compensation is only granted to the extent that the performance has not been rendered. Similar but not equal to price reduction.	Buyer returns the item and receives the entire purchase price back or can demand damages for the non-fulfilment of the entire contract. Rendered performances are reversed (restitution, §§ 281 V, 346 et seq. BGB).
Example: Replacement of the reduced market value, substitute performance	Example: So-called covering purchases, where the buyer, due to the delay of the delivery from the seller must urgently procure other goods from another supplier

Warranty rights – Damages instead of performance

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- **Damages due to impossibility, §§ 280 I, III, 283 BGB**
 - § 280 III BGB states: § 280 I + § 283 BGB

§ 280 I BGB
Contractual obligation
Breach of duty
Responsibility
Causal damage



§ 283 BGB
Due obligation to perform
Non-performance due to § 275 BGB (impossibility) <u>after</u> contract conclusion but before transfer of risk

Warranty rights – Damages instead of performance

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§ 275 I BGB „genuine impossibility“	§ 275 II BGB „practical impossibility“	§ 275 III BGB „personal impossibility“
- Objective or subjective - Initial or subsequent - Partial or whole <u>Actual impossibility:</u> - Impossibility due to laws of nature - Achievement of purpose and discontinuation of purpose without performance of the debtor <u>Legal impossibility:</u> - Performance is not possible due to legal restrictions - e.g. import of the sold good is forbidden	- No genuine impossibility - Unbearable for the debtor - Disproportionate effort in regards to <u>creditor's interest in the performance</u> - Higher efforts required when responsible - e.g. sold ship sinks and can only be retrieved under enormous efforts - Objection/plea	- Debtor is obliged to perform personally - e.g. employment contract, certain service contracts - Debtor can't reasonably be expected to fulfil the obligation - Weighing the obstacle to performance against the creditor's interest in performance - Objection/plea - e.g. immigrant employee is called up for military service, disregard is forbidden under death penalty

Debtor is released from his obligation; damages or revocation possible

- **Damages due to a breach of secondary duty, §§ 280 I, III, 282 BGB**
 - § 280 III BGB states: § 280 I + § 282 BGB
 - Similar to § 324 BGB

§ 280 I BGB
Contractual obligation
Breach of obligation
Responsibility
Causal damage



§ 282 BGB
Breach of secondary duties, § 241 II BGB
Unacceptability of the performance to the buyer

- Requirements of § 280 I BGB in addition to § 282 BGB:
 - Breach of secondary duty (§ 241 II BGB)
 - Destroyed base of trust
 - Breach must be relevant to purpose of contract (filter for completely unrelated breaches)
 - Weighing of interests when determining unacceptability

- Example: Craftsman C was sent by seller S to buyer B to install the kitchen he sold to him. C is drunk and smokes in B's apartment. Despite this, he has already installed half of the kitchen properly. Then C drops his cigarette which causes a small fire. B is able to extinguish the fire after it damaged his floor.
 - Warranty rights: Not a case of § 434 IV BGB: assembly itself isn't faulty
 - In addition to: §§ 280 I, 241 II BGB: Damage on floor
 - Instead of: §§ 280 I, III, 282 BGB: Cost of another craftsman who installs the kitchen

Warranty rights – Damages

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S runs a gas station. He sells regular car fuel to B, who refuels his Volkswagen Golf. The car – as every other standard car – needs fuel with 95 octane (octane content of regular car fuel). Due to a mistake of S's supplier the fuel sold that day only has 80 octane. S negligently didn't notice this mistake.

After a few meters of driving the car breaks down due to the substandard fuel. The engine suffered serious damage and needs to be repaired. Also, B wants back the money he spent on the fuel.

Can B claim damages?

1. Contractual obligation: purchase contract, § 433 BGB

Damage due to defect or other reason?

2. Breach of duty: defect of fuel, § 434 II 1 Nr. 2 BGB at the transfer of risk

Damage in addition to or instead of performance?

- § 437 Nr. 3 in conjunction with § 280 I BGB or §§ 280 I, III, 281 BGB?
 - Damage of the car itself isn't eliminated by providing new fuel
 - ➡ Damages in addition to performance, § 280 I BGB for engine repair costs
 - Defect in fuel can be rectified by providing new fuel
 - ➡ Damages instead of performance, §§ 280 I, III, 281 BGB
 - B needs to specify additional period for performance for cost of fuel

Warranty rights – Reimbursement

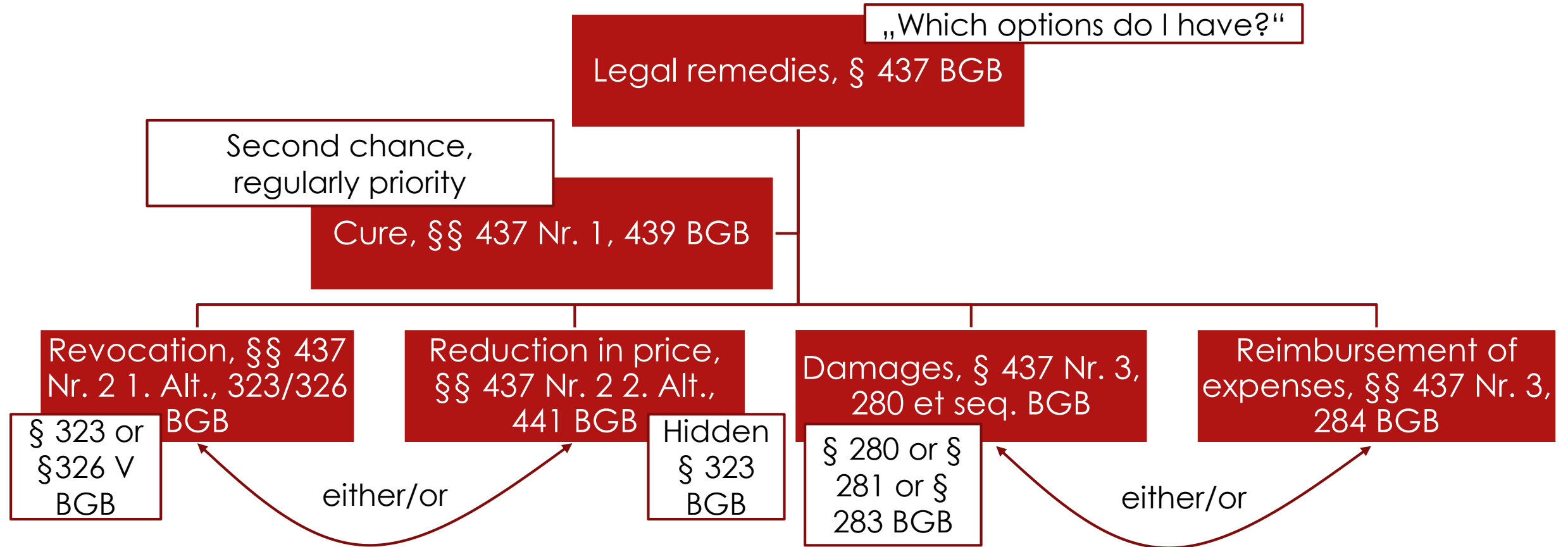
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- §§ 437 Nr. 3, 284 BGB reimbursement for futile expenses
 - Idea: Expenses would have been recouped with due performance
- “In place of damages in lieu of performance”
 - = same requirements as §§ 280 I, III, 281 BGB
 - Either/or-relationship

- Expenses in one's own interest
 - E.g. costs for organizing transport or cost for registration of vehicle
 - Expenses to avert damages are not covered by § 284 BGB
- Expenses in reliance on receipt of performance (reasonableness)
 - Expenses after contract conclusion
 - Not: Expenses...
 - in gross disproportion to value of performance
 - at a time when non-performance was foreseeable
 - that wouldn't be recouped due to another reason (not debtor's breach)

Recap – Structure of Warranty Law

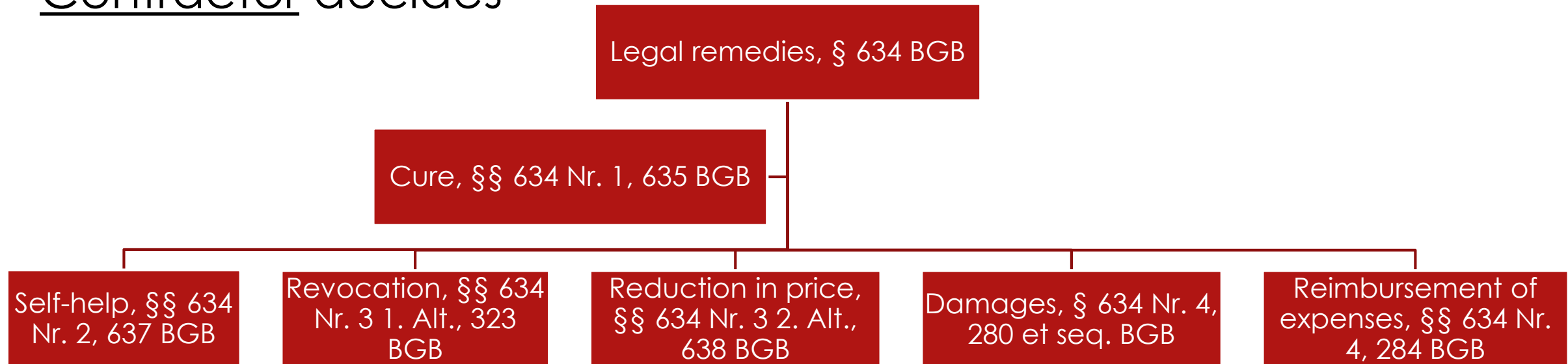
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Warranty rights – Works contract

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- Decisive point in time: acceptance of work, § 640 BGB
 - Transfer of risk, § 644 BGB; applicability of warranty rights
- Same legal remedies, one addition
- § 634 BGB = referral provision
- Contractor decides



What types of damage claims are there? Distinction?

What are the elements of § 280 I BGB?

When can impossibility be given?

What is the scope of application of culpa in contrahendo?